

SLOVAK REPUBLIC
2002

1. Overview of the system

Unemployed persons can receive unemployment benefits for a maximum period of 6 months, which is extended to 9 months, if the person has contributed for more than 15 years.

The tax unit is the individual, partners are taxed separately. The 2002 AW level is SKK 162379.

2. Unemployment insurance

2.1 Conditions for receipt

2.1.1 Employment conditions

- At least 24 months of work in the last three years.
- At least 6 months in the last three years in fixed term employment agreed for seasonal work.

2.1.2 Contribution conditions

- At least 24 months of work in the last three years.
- At least 6 months in the last three years in fixed term employment agreed for seasonal work.

2.2 Calculation of benefit amount

2.2.1 Calculation of unemployment benefit

Unemployment benefit for one calendar month for which a registered unemployed person can apply at the District Labour Office and is entitled if he meets conditions in section 2.1.2, as follows:

- 50 per cent of the determined base of unemployment benefits over the first three months.
- 45 per cent of the determined base of unemployment benefits over the remaining time.

The maximum value to which unemployment benefits are granted is the minimum subsistence income (MSI) of an adult natural person as specified by a special regulation (paragraph 2 letter a) of the Act No. 125/1998 Coll. on the minimum subsistence income and on fixing of amounts for the purpose of state social benefits) multiplied by 1.5. The maximum sum of a granted unemployment benefit was SKK 5 895 since 1 July 2002.

The duration of payments of unemployment benefits shall be reduced by one half in the following cases:

- Termination of the last employment by the registered unemployed without serious reasons or in absence of statement of reasons, or termination of the last employment by the employer for violation of labour discipline, unsatisfactory performance in work or for reasons which may be sanctioned by immediate dismissal.
- Termination, without serious reasons, of the operation or performance of self-employment or of collaborator activities.

2.2.2 *Income and earnings disregards*

Any income from employment contract and on the basis of the work performance agreement cancels entitlement to an unemployment benefit.

2.3 *Tax treatment of benefit*

Not taxable

2.4 *Duration of payments of unemployment benefits*

Unless stipulated differently in this Act, the registered unemployed shall be paid unemployment benefits over a period depending on the total duration of his/her payments of unemployment insurance contributions in the respective calendar year: up to 15 years for 6 months, and above 15 years for 9 months.

2.5 *Treatment of unemployment registration*

The unemployed person applies personally for mediation of employment at a District Labour Office relevant to the place of his/her residence. Based upon this application he is included into the unemployed register. If the registered unemployed person meets the conditions for the unemployment benefits the District Labour Office that registers him will pay the benefit to him. The stated procedure is equal for all unemployed persons who requires the relevant District Labour Office for mediation of employment and are in the unemployed register.

Registered unemployed young people (schools graduates) who paid the unemployment insurance contributions at least six months during a continuous vocational training are entitled to the unemployment benefit.

Registered unemployed older persons in the case of entitlement receive unemployment benefit for 6 or 9 months. After the termination of this period they are eligible for social assistance benefit if they are in material need. If they qualify and apply for an old-age pension during this period they obtain an old-age pension. From the day of entitlement they are removed from the unemployment register and the unemployment benefit payment is stopped.

3. *Unemployment assistance*

None except the unemployment benefits.

In a year the registered unemployed person can receive the unemployment benefit for the maximum length of 9 months and for the maximum amount SKK 53 055.

4. Social assistance

4.1 Conditions for receipt

Since 1 January 2002 there has been a social assistance benefit granted at two levels, namely:

- A social assistance benefit which supplements an income to the amount of 50 per cent of the MSI of a citizen who is in material need due to subjective reasons. The MSI is set by the Act No. 125/1998 Coll. on the minimum subsistence income and on fixing the amounts for the purpose of state social benefits (see section 4.2).
- A social assistance benefit which supplements an income to the amount fixed in the provisions of § 48 par. 4 of the Act on social assistance, in the case that the citizen is in material need for objective reasons as follows:
 - One adult person SKK 3 490 monthly.
 - Another jointly assessed person and an independent child of age up to SKK 2 440 monthly.
 - A dependent child up to SKK 1 580 monthly.

In the case that a social assistance benefit is granted to citizens in material need for subjective reasons and their income is considered jointly, an amount of a social assistance benefit is calculated in such a way that a total income of all considered persons is supplemented to 50 per cent of the MSI. In the case of material need for objective reasons the income is supplemented to amounts fixed by the Act on social assistance. The benefit is paid in one sum in such cases.

Provisions of § 8 of the Act on social assistance clearly define cases where it is not required to provide for or to increase an income by means of own work in order to overcome material need (e.g. eligibility to receive old-age pension; disability pension – under valid decision or assessment of the Social Insurance Agency; was dependent child; a parent who takes care of a dependent child until 7 years of age or of three or more children until 15 years of age; care of severely handicapped person, etc.).

4.2 Calculation of a benefit amount

4.2.1 Calculation of gross benefit

The calculation of a benefit in 2002 in the case of a citizen in material need for subjective reasons was based upon 50 per cent of the MSI stipulated by the Act No. 125/1998 Coll. on the MSI and on fixing amounts for the purposes of state social benefits as amended. Amounts of the MSI were, as follows:

To 30 June 2002

- One adult person SKK 3 790 monthly.
- Another jointly assessed person and an independent child of age SKK 2 650 monthly.
- A dependent child SKK 1 720 monthly.

Since 1 July 2002

- One adult person SKK 3 930 monthly.
- Another jointly assessed person and an independent child of age SKK 2 750 monthly.
- A dependent child SKK 1 780 monthly.

It means that the citizen's income or the income of jointly assessed persons, who were in material need, was supplemented by the social assistance benefit to the amount fixed by the Act on social assistance. The benefit amount was lower than the subsistence minimum sums set by the Act No. 125/1998 Coll. on the minimum subsistence income and on fixing the amounts for the purpose of state social benefits.

4.2.2 *Income and earnings disregards*

A citizen is not in material need, even if his/her income does not amount to the MSI stipulated in the Act No. 125/1998 Coll. on the MSI and on fixing amounts for the purposes of state social benefits, in the case that his/her previous income or property enables him/her to withstand material need. What is considered to be property is defined in provision of § 9 par. 2 of the Act No. 195/1998 Coll. on social assistance.

4.3 *Tax treatment of benefit*

Not taxable.

4.4 *Benefit duration of social assistance*

The procedure concerning the provision of a social assistance benefit is based on an application in writing submitted by a citizen and is provided during the period of material need. Social need benefit is provided until the citizen has sufficient income to overcome the material need.

5. **Housing benefits**

Effective since 1 January 2000, a state social benefit has been introduced - the *housing contribution* (Act No. 300/1999 Coll. on housing contribution). Through it the state financially contributes to low income households to cover expenses related to the flat or family house use, depending on the number of persons permanently staying in the flat or family house to which the entitlement to this contribution is applied, and depends on the income they received in the decisive period (half of a calendar year).

The value of the housing contribution (HC) is the difference between the sum of the minimum housing expenses (MHE) and a product of the coefficient of charge on the income of jointly assessed persons by housing expenses (R) and the income of jointly assessed persons (Y), while the coefficient of charge on the income of jointly assessed persons by housing expenses equals 0.29.

$$HC = MHE - (R \times Y).$$

The amount of minimum housing expenses differentiates according to the number of persons having the right to stay in the flat in which they are registered for a permanent stay.

Minimum housing expenses (since 1 July 2001):

- SKK 1 680 monthly for one family member.
- SKK 2 090 monthly for two family members.
- SKK 2 490 monthly for three family members.

- SKK 2 900 monthly for four and more family members.

5.1 Conditions for receipt

- a) Applicant's permanent stay in the flat or family house he uses on the territory of Slovakia.
- b) A payment of the rent and payment for services related to using the flat, if the applicant is a flat tenant.
- c) Advance payments to the operational, maintenance and repair funds, payment for services provided to use the flat and a real estate tax paid off, if the applicant is the flat owner.
- d) A real estate tax paid off, if the applicant is the family house owner.
- e) Low income of persons jointly assessed.

6. Family benefits

They consist of child allowances, parental allowances and further benefits of state social assistance.

6.1 Conditions for entitlement to child allowances

To 30 June 2002 (Act No. 193/1994, Coll. on Child Allowances and supplement to child allowances)

- a) Care of a dependent child by qualifying person.
- b) Income not higher than amount determined by law.
- c) Permanent stay or the long term stay of the qualifying person and of dependent child in the territory of the Slovak Republic.

Entitlement to child allowances - could apply as qualifying person up to 30 June 2002:

- a) Parent of dependent child.
- b) Person to which the dependent child was entrusted into substitute parental care under a valid ruling by a court.
- c) Adult dependent child, if there is no person under letter a) and b).

Since 1 July 2002 (Act No. 281/2002 Coll.)

- a) Care of the dependent child by qualifying person.
- b) Permanent stay or the long term stay of the qualifying person and of dependent child in the territory of the Slovak Republic.

Conditions for entitlement to supplement to child allowances from 1 July 2002 (Act No. 281/2002 Coll.):

- a) Fulfilling the conditions for entitlement to child allowance according to the Act No. 281/2002 Coll.
- b) Income not higher than amount determined by law.

Entitlement to child allowances and supplement to child allowance - could apply as qualifying person from 1 July 2002:

- a) Parent of dependent child.
- b) Person to which the dependent child was entrusted into substitute parental care under a valid ruling by a court.
- c) Adult dependent child, if there is no person under letter a) or if the child has regulated the alimentary obligation from parents.
- d) Adult dependent child who is married or whose marriage discharged.

6.2 Calculation of gross benefit

To 30 June 2002

- In the case where the income of the family does not exceed a factor of 1.37 times the sums for State Social Benefits according to § 5 of Act No. 125/1998 Coll.,* child allowance/month is as follows:

Child of age	SKK
Up to 6 years	680
6 to 15 years	830
Over 15 years	890

- In the case where the income of the family is a factor of between 1.37 and 2.1 times the sums for State Social Benefits according to § 5 of Act No. 125/1998 Coll.,* child allowance/month is as follows:

Child of age	SKK
Up to 6 years	480
6 to 15 years	590
Over 15 years	620

* Sums for definition of income for existence of condition for entitlement to child allowances (to 30 June 2002) and to supplement to child allowances since 1 July 2002, are as follows:

- a) SKK 3 000 monthly in the case of one adult person:
 - A parent of a dependent child.
 - A dependent child of which the income is assessed separately.
- b) SKK 2 100 monthly in the case of:
 - Another jointly assessed person, which is parent of a dependent child.
 - Another jointly assessed person, which is a spouse of parent of a dependent child.
- c) SKK 1 770 monthly in the case of a dependent child of age over 15 years.
- d) SKK 1 660 monthly in the case of a child of age from 6 to 15 years.
- e) SKK 1 350 monthly in the case of a child of age till 6 years.

Since 1 July 2002

- a) Child allowance regardless of the family income:

Child of age	SKK
Up to 6 years	480
6 to 15 years	590

Over 15 years	620
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b) Supplement to child allowance dependent on the family income:

In the case where the income of the family does not exceed a factor of 1.37 times the sums for State Social Benefits according to § 5 of Act No. 125/1998 Coll.,* supplement to child allowance/month is as follows:

Child of age	SKK
Up to 6 years	200
6 to 15 years	240
Over 15 years	270

* See comment above on calculation of gross benefit to 30 June 2002.

6.3 *Income and earnings disregards*

See section 6.2.

6.4 *Tax treatment of benefit*

Child allowance and supplement to child allowance are not subject to personal income tax.

7. *Childcare benefits - parental allowance*

7.1 *Conditions for receipt*

To 31 October 2002

Entitled to parental allowance is a parent (mother, father,...) providing personal and proper full day-care to at least one child up to the age of 3 years (in the case of a long-term or severely handicapped child up to the age of 7 years).

Since 1 November 2002 (Act No. 280/2002 Coll.)

Entitlement to parental allowance is a parent (mother, father,...) providing personal and proper full day-care to at least one child up to the age of 3 years (in the case of a long-term or severely handicapped child up to the age of 6 years).

Condition for an entitlement to parental allowance is the permanent stay of a parent and a child, for foreigners a temporary stay is allowed also.

7.2 *Calculation of benefit amount*

7.2.1 *Calculation of gross benefit*

To 31 October 2002

Amount of parental allowance = 0.913 times the amount for one adult in accordance with § 5 of the law 125/1998 Coll., absolute value SKK 2 740/month.

Since 1 November 2002

- SKK 3 790 monthly.
- SKK 1 200 monthly, if a parent (during a period he/she cares for a child) simultaneously is gainfully employed or receives sickness insurance benefit besides cash maternity assistance.

7.2.2 *Income and earnings disregard*

To 31 October 2002

Income from any source other than benefit abolishes the right to benefit.

Since 1 November 2002

In addition to employment and self-employment income disregards there is entitlement to a parental allowance of SKK 1 200.

7.3 ***Tax treatment of benefit***

Parental allowance is not subject to income tax.

8. **Employment-conditional benefits**

None.

9. **Lone-parent benefit**

None.

10. **Tax system**

10.1. ***Income tax rate schedule***

10.1.1 *Tax allowances and credit*

Tax allowances		Amounts (in SKK per year)
Basic		38 760
Marital status		12 000 if married or living in a common household with a partner who earns not more than 38 760
Dependent child		16 800 per dependent child
Social security contributions		All

10.1.2 *The definition of taxable income*

It is the gross earnings minus the above tax allowances.

10.1.3 The tax schedule

Taxable income (SKK)	Tax at lower limit (SKK)	Tax rate on taxable income in excess of the lower limit (%)
0 – 90 000	0	10
90 000 – 180 000	9 000	20
180 000 – 396 000	27 000	28
396 000 – 564 000	87 480	35
564 000+	146 280	38

10.2 Treatment of family income

The tax unit is the individual.

10.3 Social security contribution schedule

Scheme	Rate (%)
Health insurance	4.0
Social Insurance	8.8
Sickness	1.4
Retirement	6.4
Unemployment	1.0
Total	12.8

There are maximum assessment bases MSSAB (maximum threshold for contributions to apply) that apply to social security contributions: CZK 384 000 and CZK 288 000 (for unemployment).

11. Part-time work

11.1 Special benefit rules for part-time work

None.

11.2 Special tax and social security contribution rules for part-time work

None.

12. Policy developments

12.1 Policy changes introduced in the last year

None.

12.2 *Policy changes announced*

None.
